



THE PLAYBOOK

SCALP · DAY · SWING · OPTION SELECTION · EXECUTION

KORNIS TRADING COMMAND

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I · SCALP RULES — THE OPERATING STYLE

IN AND OUT WITHIN HOURS · FLAT BY THE BELL · THE MACHINE DOES THE WATCHING

RULE	DIRECTIVE
Opening play	5-Minute Opening Range. Mark the HIGH and LOW of the first 5m candle (8:30–8:35 CT). Break above on expanding volume = long trigger; break below = short trigger. Decision-ready at 8:36 — no waiting for 15-minute closes on scalps.
Trigger chart	5-minute candles execute. 15-minute and 1-hour provide context only — trend and walls.
Ride line	The 9 EMA on the 5m. In while price holds it; OUT the candle it closes across against you. This is the exit, not a warning about one.
Time stop	A scalp that hasn't worked in 30–45 minutes is closed flat. Capital has better places to be.
Lunch rule	11:00–12:30 CT: half size or stand down. Thin tape lies.
The bell	Last entry 2:00 PM CT. All positions FLAT by 2:45 CT. No overnights — ever. The final 30 minutes belong to institutions and MOC games; the night owns theta and gap risk.

“I’ll just hold this one overnight” is how scalpers become bagholders.

II · THE VEHICLE — CONTRACT SELECTION

EXPIRY AND DELTA BY HOLDING PERIOD · THETA AS A RATIO, NEVER A GUESS

STRATEGY	EXPIRY AT ENTRY	DELTA	THETA CEILING /DAY	NOTE
Scalp (min–3 hr)	5–10 DTE — never 0–2	0.65–0.75	Own nothing decaying >4%	Moves under \$1 → shares beat options
Day trade	7–14 DTE	0.60–0.70	≤ 3% of premium	Survives a lunch stall without bleeding
Weekly swing	14–25 DTE	0.60–0.70	≤ 2% of premium	Never hold a contract’s final week
21-day swing	30–45 DTE · exit by 21	≈ 0.70	≤ 1% of premium	Deep ITM: intrinsic value can't rot

IV OVERRIDE: IV Rank > 50 (rich) → deeper ITM, 0.70–0.80Δ · IV Rank < 30 (cheap) → ATM 0.50–0.55Δ acceptable · OTM lottery tickets ONLY with a Tier-1 catalyst firing today

§ THE GREEKS — PASS/FAIL BEFORE BUYING

GREEK	WHAT IT TELLS YOU	THE TEST
Delta	\$ per \$1 stock move + rough probability of finishing ITM	Matches the table above
Theta	Daily rent paid to hold	Theta ÷ option price ≤ the ceiling above
Vega	Exposure to IV collapse (the crush)	After any vol spike: deep ITM or fewer days held
Gamma	How fast delta grows when right	Scalps: friend. Swings: near-expiry gamma = theta’s twin — avoid
IV Rank	Today’s IV vs its own 52-week range	Buying premium: prefer < 50, else apply the override

§ LIQUIDITY GATE — FAIL ANY ONE, WALK AWAY

Spread ≤ \$0.30 *and* ≤ 5% of mid · Open interest ≥ 500 (prefer 1,000+) · Day volume ≥ 100 contracts · Limit at MID only — never market, never chase past two nickels

III · THE SIGNALS — ENTRY & EXIT VALUES

TRIGGER TIMEFRAME: 5M SCALP · 15M DAY · 1H-1D SWING

INDICATOR	LONG / CALLS WHEN...	SHORT / PUTS WHEN...
VWAP (<i>intraday king</i>)	Price above, or a reclaim that holds on retest	Price below, or rejection from underneath
9 EMA vs 20 SMA	EMA above SMA, price riding the EMA	EMA below SMA, price failing at the EMA
RSI (14)	Crossing UP through 40–50 with runway; never open longs > 70	Crossing DOWN through 60–50; never open shorts < 30
MACD (12,26,9)	Histogram flips green AND grows two consecutive bars	Histogram flips red AND grows two consecutive bars
BB %B	Rising through 50 (trend) or snapping back up from < 0	Falling through 50, or fading from > 100
Momentum (12)	Crosses above zero, or rising three bars	Crosses below zero, or falling three bars
Volume (<i>the veto</i>)	Expands with the move, shrinks on pullbacks	Expands with the drop, shrinks on bounces

CONFLUENCE RULE: 5 of 7 aligned or NO TRADE. Volume holds an absolute veto — a breakout on shrinking volume is a fake.

§ THE AVERAGES THAT MATTER

AVERAGE	ROLE
9 EMA · 5m	Scalp ride line — in while held, out when lost
20 SMA · 15m/1h	First wall in any bounce or fade — the first touch usually rejects
50 SMA · 1h/1D	Trend ceiling and floor — swing targets live here
200 SMA · 1D	Regime filter: above = buy dips · below = sell rips

§ WHALE FLOOR & CEILING — CHECK EVERY MORNING

LEVEL	WHAT IT IS	HOW TO TRADE IT
Call Wall	Largest call OI/gamma strike above price	CEILING. Sell longs into it; calls only after it breaks <i>and holds</i>
Put Wall	Largest put OI strike below price	FLOOR. Take put profits into it; expect defense there
Max Pain	Strike where the most options die worthless	Friday / OpEx magnet — expect pinning toward it into expiry
Dealer Gamma	Positive: dealers dampen · Negative: dealers amplify	Positive → chop rules, fade the edges. Negative → trends RUN — ride, don't fade

IV · THE SEQUENCE — EVERY TRADE, IN ORDER

TEN STEPS · NO STEP OPTIONAL · THE BRACKET IS THE LAW

1. **Thesis in one sentence.** Cannot say it = cannot trade it.
2. **Macro gate.** USD/JPY vs 159 (Path 1 / Path 2) · SPY and QQQ direction agree with the trade.
3. **Level map.** Yesterday's high/low · premarket high/low · call wall · put wall · max pain · round numbers.
4. **Timeframe stack.** 1D trend → 1h structure → 5m trigger. All three agree, or pass.
5. **Confluence.** Five of seven signals aligned; volume not vetoing.
6. **Vehicle.** Contract from the Chapter II table · Greeks pass · liquidity gate passes.
7. **Exits written BEFORE entry.** Target 1 (next wall — sell half) · Target 2 (runner) · Stop (structure level or $1-1.5 \times \text{ATR}-14$) · Time stop.
8. **BRACKET ON THE TICKET.** Entry, target, and stop in one OCO order. **No bracket, no trade.**
9. **Manage by rule.** Half off at Target 1 · stop to breakeven · never round-trip a double · sell INTO walls, never through them · flat by 2:45 CT.
10. **Journal the same day.** Entry, exit, what the plan said, what you actually did.

First 15 minutes of the session: WATCH ONLY (the 5-minute opening range is being built) · **Flat is a position** · **One setup, one vehicle, one bracket — or nothing.**

The plan that lives in your head gets renegotiated by the first candle. The plan that rests as an order executes while you watch. Decisions made at 3:55 always lose to orders placed at 10:00.